SECTION A – CASE QUESTIONS **(Total: 50 marks)**

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

CASE

Peaceful Holdings Limited ("PHL") is a company listed on the Stock Exchange of Hong Kong and is principally engaged in the sales of plastics products in Hong Kong. PHL has grown over the past few years through the acquisition of companies.

Sparrow Limited

On 1 April 2014, PHL acquired a 90% interest in Sparrow Limited ("SPL") for HK$255,300,000 when the equity of SPL was:

	HK$'000
Share capital	225,000
Retained earnings	26,900
	251,900

The carrying amounts of assets and liabilities of SPL were the same as their fair values except for property, plant and equipment for which the fair value was HK$1,000,000 greater than the carrying amount. The property, plant and equipment had a remaining economic life (same as useful life) of 10 years on 1 April 2014. Depreciation of property, plant and equipment is classified as cost of sales.

Agreeable Limited

On 1 April 2015, PHL acquired a 70% interest in Agreeable Limited ("AGL") for HK$174,600,000 when the equity of AGL was:

	HK$'000
Share capital	180,000
Retained earnings	38,250
	218,250

The carrying amounts of assets and liabilities of AGL were the same as their fair values.

Additional information

(a) PHL, SPL and AGL (the "Group") have a financial year end date of 31 March.

(b) Tax impact is ignored.

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(c) At 31 March 2017, cumulative impairment loss on goodwill of HK$6,750,000 and HK$18,000,000 had been recognised for SPL and AGL, respectively in the consolidated financial statements of PHL. For the year ended 31 March 2018, a further impairment loss on goodwill of HK$15,750,000 has been identified for SPL and needs to be recognised. Impairment loss on goodwill is grouped under other expenses.

(d) It is the Group's policy to measure the non-controlling interests as a proportionate share of the fair value of the net assets at the date of acquisition.

(e) Included in SPL's operating expenses for the year ended 31 March 2018 is an amount of HK$2,520,000 in respect of management fees invoiced and included in the revenue by PHL for the year ended 31 March 2018.

(f) On 30 November 2017, PHL disposed of its entire shareholding in AGL for HK$247,500,000. AGL was a component of the Group that represents a separate major line of business. No accounting entries have been made in PHL's statement of profit or loss for this disposal, except the fact that the cash received has been recorded in the suspense account (debited cash at bank and credited suspense account, which is included under other net assets).

(g) Assume that the profits of AGL accrued evenly over the year ended 31 March 2018.

(h) The following is the draft financial information in relation to PHL, SPL and AGL as at 31 March 2018:

	PHL	SPL	AGL
figures in credit are shown in ( )	HK$'000	HK$'000	HK$'000
Statements of profit or loss for the year ended 31 March 2018			
Revenue	(689,600)	(436,200)	(313,400)
Cost of sales	448,400	221,900	143,900
Gross profit	(241,200)	(214,300)	(169,500)
Operating expenses	140,500	44,400	46,900
Operating profit	(100,700)	(169,900)	(122,600)
Investment income	(114,300)	-	-
Other expenses	64,500	23,900	36,800
Profit for the year	(150,500)	(146,000)	(85,800)
Statements of financial position as at 31 March 2018			
Property, plant and equipment	629,200	373,800	367,000
Investments in subsidiaries	429,900	-	-
Other net assets	50,300	46,100	5,800
At 31 March 2018	1,109,400	419,900	372,800
Share capital	(930,000)	(225,000)	(180,000)
Retained earnings	(179,400)	(194,900)	(192,800)
At 31 March 2018	(1,109,400)	(419,900)	(372,800)

Reconciliation of opening and closing retained earnings for the year ended 31 March 2018

At 1 April 2017	(175,200)	(120,900)	(107,000)
Profit for the year	(150,500)	(146,000)	(85,800)
Ordinary dividend	146,300	72,000	-
At 31 March 2018	(179,400)	(194,900)	(192,800)

New remuneration benefits

With the disposal of AGL, a few employees became demotivated and left PHL. To encourage staff retention, PHL implemented a range of new remuneration benefits, comprising:

(1) Year-end bonus

On 1 January 2018, PHL announced a plan to pay a year-end bonus of at least 4% and no more than 9% of annual salary for the year ended 31 March 2018 depending on the level of profits for the year and individual performance based on annual appraisal. Payments are to be made within three months after the financial year end.

(2) Improved retirement benefits

PHL is operating a pension plan that provides a pension of 3% of final annual salary for each year of service, i.e. the pension paid as a lump sum at retirement is equal to the number of years worked, multiplied by the employee's last 12 months' salary before retirement, multiplied by 3%. The benefits become vested after ten years of service.

PHL improves the pension to 4% of final annual salary for each year of service starting from 31 March 2018. As a result, on 31 March 2018, the increase in the present value of the defined benefit obligation for employee's service from 31 March 2008 to 31 March 2018 is as follows:

- Employees with more than ten years' service at 31 March 2018 HK$5 million
- Employees with less than ten years' service at 31 March 2018 (average period until vesting: six years from 31 March 2018) HK$6 million

(3) Share option

To encourage the senior managers to stay, each of the 30 senior managers in service on 1 January 2018 will be awarded 5,000 share options in PHL on 1 January 2023 if they are still in employment and the share price has increased by 40% on 1 January 2023. The share options can be exercised during the following four years after 1 January 2023.

On 1 January 2018, the fair value of each share option with this condition has been estimated at HK$50. During the year ended 31 March 2018, two senior managers left the company. PHL anticipates that total departures over the five-year period will be 20% of those in service on 1 January 2018.

Question 1 **(15 marks – approximately 27 minutes)**

Assume that you are Belinda Lam, the accounting manager of Peaceful Holdings Limited ("PHL").

Required:

Prepare a memorandum to the directors to advise as to the appropriate accounting treatment for the above new remuneration benefits for the year ended 31 March 2018. Calculations are required for the share option. Ignore the effect of taxation.

Note: Mark(s) will be awarded for proper memorandum format with logical presentation.

(15 marks)

Question 2 **(8 marks – approximately 14 minutes)**

Advise (1) the appropriate accounting treatment with calculations (ignore the effect of taxation) and (2) the disclosure requirement for the disposal of AGL in the consolidated statement of profit or loss of PHL for the year ended 31 March 2018.

(8 marks)

Question 3 **(25 marks – approximately 45 minutes)**

Assuming that the appropriate accounting treatments for the transactions and other information as set out in Question 1 above have been incorporated, prepare the consolidated statement of profit or loss, consolidated statement of financial position and reconciliation of opening and closing consolidated retained earnings of PHL for the year ended 31 March 2018.

Note: Consolidation adjustments are to be shown in the form of a worksheet. For this question, you may wish to use the templates printed on the green paper provided to prepare your answers or continue your answer in the script booklet for Case Questions. You have to show the supporting calculation for each figure in the worksheet, but journal entries are not required.

(25 marks)

Question 4 **(2 marks – approximately 4 minutes)**

Prepare a reconciliation of the non-controlling interests as at 31 March 2018, showing the book value and fair value of the net assets shared by the non-controlling interest.

(2 marks)

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End of Section A

SECTION B – ESSAY / SHORT QUESTIONS **(Total: 50 marks)**

Answer ALL of the following questions. Marks will be awarded for logical argumentation and appropriate presentation of the answers.

Question 5 **(23 marks – approximately 42 minutes)**

Livingston Company Limited ("LCL") is a freight forwarding company that delivers goods for its customers over the sea using vessels owned by third party shipping companies. It also owns a warehouse that provides logistics services. The company is in the process of documenting its analysis of how its revenue should be accounted for.

To request freight forwarding services, LCL's corporate customers place their orders over the internet as the need arise.

LCL will then be responsible for identifying the shipping companies that it wants to use to deliver the goods. The price will base on what has been negotiated between LCL and the specific shipping company. The customers do not have the visibility or choice as to which shipping company or which vessel LCL uses for the delivery of their goods. If anything goes wrong LCL is directly answerable to the customer. The customer has an unconditional obligation to pay only when the service has been completed.

For items that are pending to be loaded onboard of the vessels due to the need for further packaging together with other orders, they will be stored in LCL's warehouse until all the goods of the same shipment come together. Such storage service is not specifically billed in the online order.

Generally, LCL's customers enjoy a 30-day credit period. The following sets out the aging analysis of its accounts receivable, and some historical loss data, as of 31 December 2017:

	Balance as of 31 December 2017 HK$'million	Historical loss rate
Current	42,000	2%
≥ 30 days – 59 days past due	26,000	3%
≥ 60 days – 89 days past due	12,000	4.5%
≥ 90 days – 179 days past due	700	4.8%
≥ 180 days past due	20	10%
Total	80,720	

None of the customers have suffered a credit event.

Required:

(a) **Advise and explain the factors that you would consider in determining whether LCL should recognise revenue from its sea freight business gross or net of the fees that it pays to the shipping companies.**

(10 marks)

(b) **Based on what are described above, formulate an analysis of the company's revenue to be recognised from its sea freight business with its corporate customers. You are only required to focus on the following:**

(i) **Identifying separate performance obligations**
(ii) **Recognition of revenue – whether it is point in time or over time**

(10 marks)

(c) LCL is also assessing the amount of loss allowance recognised against its accounts receivable.

Based on the data provided above, assuming all the customers have a credit period of less than 12 months, calculate the loss allowance that would have been recorded as of 31 December 2017.

(3 marks)

Question 6 **(19 marks – approximately 34 minutes)**

Cha Crazy Limited ("CCL") is a company selling specialty drinks. Its parent company, Eat n Drink Holdings Limited ("END"), is a conglomerate in the food and beverage industry listed on the Hong Kong Stock Exchange Limited. In view of the bloom in the specialty drinks market management intends to get CCL spun off and listed on the GEM Board. CCL is now in the process of preparing disclosures on related party transactions.

The following sets out the relationship of various parties with CCL, the reporting entity:

Entity	**Relationship with CCL**
Juicie Victory Limited ("JV")	A joint venture between CCL and Just Orchard Limited
Just Orchard Limited ("JOL")	A joint venture partner with CCL that co-invests in JV
Mint Illusion Limited ("MI")	A minority shareholder holding 21% shares with corresponding voting power in CCL
Milano Assortment Limited ("Mi Asso")	An associate held by MI
Mr Bo	Non-executive director of END
Mrs Bo	The wife of Mr Bo
Bodine Limited ("BL")	A company 100% held by Mrs Bo

Mr Cha, the ultimate controlling party of CCL, considers that none of the above should be considered as related party of CCL and therefore whatever transactions that occurred between CCL and those entities would not be subject to the disclosure requirements under HKAS 24.

Fanny Ma is an audit partner of Cha Duk Chang & Co, CPA ("CDC"), the auditor of CCL. Both Mr Cha and Fanny are members of the HKICPA.

Required:

(a) **Explain, in respect of each of the company / individual in the table above, whether you agree with Mr Cha that they are not related parties of CCL.**

(10 marks)

(b) Mr Cha noticed that CDC expressed different options compared to what they would like to see in the financials. He pulled Fanny to the side and said the audit firm next door is agreeing to every proposal that CCL's management is making. He cannot see why CDC is so troublesome so he is considering to change auditors.

(i) **Analyse the behaviour of Mr Cha according to the Code of Ethics for Professional Accountants.**

(4 marks)

(ii) **Summarise the legal procedures involved in the removal, resignation and appointment of auditors under the Hong Kong Companies Ordinance.**

(5 marks)

Question 7 **(8 marks – approximately 14 minutes)**

Thunderbolt Limited ("TL") is an electric vehicle manufacturer with major operations in China. In order to encourage investments in green technology, the central government is recently releasing a series of incentives for companies in such industry and TL gladly submitted an application.

During the financial year 2014, TL received a letter from the local authorities approving subsidies in cash totalling HK$70 million for the purposes of building a new plant, HK$20 million of which was already deposited by the local authorities into the company's bank account on 30 March 2014. The remainder HK$50 million will be paid by the local authorities after the new plant has been in operation for five years at a certain capacity with no other conditions attached. At that time management was reasonably assured that there would be no problem in meeting the condition. They were also confident about receiving the cash at the promised time.

TL started to build the plant in January 2015. The plant costs HK$200 million to build and is expected to have a useful life of 10 years with nil residual value. The plant entered into operations on 1 January 2016.

TL has a December year end. It has an accounting policy of presenting government grants on gross basis.

Required:

(a) **Prepare, where applicable, the journal entries for each of the years ended 31 December 2014, 2015 and 2016 in respect of the transactions above. Explain if there are no journal entries required. Ignore time value of money, if applicable.**

(5 marks)

(b) During 2017, the local authorities came to inspect the operations of the plant. As a result of some unforeseen circumstances in 2017 that made the plant not being to operate at a level of capacity as previously agreed, the subsidies of HK$70 million as originally approved is now cut down to HK$50 million.

Advise, together with the use of journal entries, the accounting impact of the event as a result of the revision in the amount to be granted.

(3 marks)

* * * END OF EXAMINATION PAPER * * *